Type MS · Partnership agreements and what happens without one

Answer 1 of 3 · Question 2 part c · 5 marks

2024 NOV · Paper 02 · extract 1 of 3 · find part c in this mark scheme extract

2(a)	**Award one mark for each correct reason.** Able to provide cover for holidays / sharing workload **(1)** Additional skills/experience **(1)** Sharing risks /losses **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
2 (b)(i)	**Award marks as indicated.**	**(13)**

Haitai and Ming

Manufacturing account for the year ended 30 June 2024

	$	$	
Opening inventory of raw materials	68 000		
Purchases	550 000		
Carriage inwards	42 500		**(1)**
Closing inventory of raw materials	(72 000)		
Cost of raw materials consumed		588 500	**(1of)**
Direct expenses		26 950	**(1)**
Direct wages		127 500	**(1)**
Prime cost		742 950	**(1of)**
Depreciation	8 000		**(1)**
Overheads	138 000		**(1)**
Supervisor's salary	45 000		**(1)**
Insurance	35 325		**(1)**
Rent and rates	187 500		**(1)**
		413 825	**(1)**
		1 156 775	
Opening work in progress	85 278		
Closing work in progress	(96 750)		
		(11 472)	**(1)**
Production cost		1 145 303	**(1of)**

Type MS · Partnership agreements and what happens without one

Answer 1 of 3 · Question 2 part c · 5 marks

2024 NOV · Paper 02 · extract 2 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)(ii)</td><td>Award marks as indicated.

$1 086 913 (5) W

Working

$1 145 303 – $7 065 (1) – $37 500 (1) – $3 200 (1) – $10 625 (1)
= $1 086 913 (1)

<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Draft production cost</td><td></td><td>1 145 303</td></tr>
<tr><td>Insurance</td><td>(7 065) (1)</td><td></td></tr>
<tr><td>Rent and rates</td><td>(37 500) (1)</td><td></td></tr>
<tr><td>Depreciation</td><td>(3 200) (1)</td><td></td></tr>
<tr><td>Carriage</td><td>(10 625) (1)</td><td></td></tr>
<tr><td></td><td></td><td>(58 390)</td></tr>
<tr><td>Corrected production cost</td><td></td><td>1 086 913 (1)</td></tr>
</table></td><td>(5)</td></tr>
</table>

Type MS · Partnership agreements and what happens without one

Answer 1 of 3 · Question 2 part c · 5 marks

2024 NOV · Paper 02 · extract 3 of 3 · find part c in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award up to four marks for explaining the purpose of a partnership agreement.** **Award one mark for a decision.** **Sample answers** The partnership agreement will allow partners to know their rights and responsibilities **(1)** which can be referred to in the event of any disputes **(1).** The partnership agreement will avoid any disputes between the partners **(1)** which can slow down the decision-making process of the business **(1)** If the partnership does not have an agreement, then the provisions of the Partnership Act 1890 would apply **(1)** which provides for each partner to receive an equal share of profits and losses**. (1)** I believe the partners should draw up a formal partnership agreement **(1)** **Accept any other appropriate responses**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Partnership agreements and what happens without one

Answer 2 of 3 · Question 2 part d · 4 marks

2019 JUN · Paper 02 · extract 1 of 4 · find part d in this mark scheme extract

2(a)	**Award marks as indicated.** **Scenario** / **Accounting concept** Adjusting expenses for other receivables — Accruals **(1)** Creating an allowance for doubtful debts — Prudence **(1)** Recording goods taken for personal use — Business entity **(1)**	**(3)**

Question number	Answer	Mark
2(b)(i)	**Award mark as indicated** Profitability is the ability to generate profits from the activities of the business **(1).**	**(1)**

Question number	Answer	Mark
2(b)(ii)	**Award mark as indicated** Liquidity is the ability of a business to pay off its liabilities **(1).**	**(1)**

Question number	Answer	Mark

Type MS · Partnership agreements and what happens without one

Answer 2 of 3 · Question 2 part d · 4 marks

2019 JUN · Paper 02 · extract 2 of 4 · find part d in this mark scheme extract

2(c)	**Award up to 2 marks for comments on profitability and up to 2 marks for comments on liquidity and 1 mark for overall evaluation.** **Sample answer** Gross profit margin has improved indicating charging higher selling price in relation to lower/constant purchase price or cost of sales **(1)**. Profit for the year as a percentage of revenue has also improved due to better gross profit margin **(1)**. Current (working capital) ratio has improved which indicates that the business was able to pay off its short-term liabilities in both years **(1)**. Liquid (acid test) ratio has improved, which indicates that the business can pay off its short-term liabilities without having to sell inventory **(1)**. Overall profitability and liquidity of the business has improved **(1)**	**(5)**

Type MS · Partnership agreements and what happens without one

Answer 2 of 3 · Question 2 part d · 4 marks

2019 JUN · Paper 02 · extract 3 of 4 · find part d in this mark scheme extract

Question number	Indicative content	Mark
2(e)	• Partners must share the profits/losses, so they must prepare the appropriation accounts to show the share of profit/loss. • Being partners, they may be entitled to interest on capital, drawings and interest on drawings, salaries etc so they must prepare the current account to show what business owes to them and what they owe to business. • Being partners the drawings and profit share is not adjusted to the capital account so they must show the capital and current account separately in the statement of financial position. The indicative content is not exhaustive; other creditworthy material should be awarded marks as appropriate.	(6)

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1 - 2	Some understanding of the accounting principles demonstrated but explanation has not been developed adequately.
Level 2	3 - 4	Good understanding of the accounting principles demonstrated with a developed explanation but with limited evidence to support response.
Level 3	5 - 6	Excellent understanding of the accounting principles demonstrated with a well-developed explanation with sufficient evidence to fully support response.

Type MS · Partnership agreements and what happens without one

Answer 2 of 3 · Question 2 part d · 4 marks

2019 JUN · Paper 02 · extract 4 of 4 · find part d in this mark scheme extract

Question number	Answer	Mark
2(f)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** A sole trader may have limited finance/capital/resources to expand the business **(1)**, but a new partner brings in additional finance/capital/resources available to expand the business **(1)**. A sole trader may find it hard to cope with the demands of the increased business **(1)**, but a new partner will bring in additional skills/knowledge/ideas/ and share workload **(1)**. If a sole trader forms a partnership, he will lose control as all the decision are to be made collectively **(1)**, whereas at present he makes all the decisions **(1)**. If a sole trader forms a partnership, he must share the profits with the other partner **(1)**, whereas at present he takes all the profits **(1)**. Any supported decision **(1)**.	**(5)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Partnership agreements and what happens without one

Answer 3 of 3 · Question 2 part a · 3 marks

2023 JUN · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

Number		
2(a)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** A Partnership agreement provides written evidence **(1)** to avoid conflict **(1)** and includes terms for the management of the partnership/details of share of profits/interest on drawings etc. **(1)** **Accept any other appropriate responses**	**(3)**

Question Number	Answer	Mark
2(b)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** A partner may decide to provide a loan to the partnership as a loan is repayable **(1)** will provide a guaranteed annual income. **(1)** **Accept any other appropriate responses**	**(2)**

Type MS · Partnership agreements and what happens without one

Answer 3 of 3 · Question 2 part a · 3 marks

2023 JUN · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(c)	**Award marks as indicated.**	**(12)**

Joan and Lewis
Appropriation account for the year ended 31 December 2022

	$	$
Draft profit for the year		56 800
Salary adjustment		17 000 **(1)**
Drawings – Joan		1 000 **(1)**
Loan interest		(600) **(1)**
Adjusted profit for the year		74 200 **(1)**
Interest on drawings		
Joan	300 **(1)**	
Lewis	350 **(1)**	
		650
		74 850
Interest on capital		
Joan	6 800 **(1)**	
Lewis	6 000 **(1)**	(12 800)
Salary - Lewis		(17 000) **(1)**
Profit available for distribution		45 050 **(1of)**
Share of profit		
Joan		22 525 **(1of)**
Lewis		22 525 **(1of)**
		45 050

Type MS · Partnership agreements and what happens without one

Answer 3 of 3 · Question 2 part a · 3 marks

2023 JUN · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(d)	**Award marks for correct date, details and amount in combination.**	**(8)**

Current Account - Lewis

Date	Details	$	Date	Details	$
31 Dec	Drawings	7 000 **(1)**	1 Jan	Balance b/d	3 900 **(1)**
	Interest on drawings	350 **(1)**	31 Dec	Interest on capital	6 000 **(1)**
	Balance c/d	42 675		Salary	17 000 **(1)**
				Loan interest	600 **(1)**
				Share of profit	22 525 **(1of)**
		50 025			50 025
			1 Jan	Balance b/d	42 675 **(1of)**

TOTAL FOR QUESTION 2 = 25 MARKS